

POCKETSMART AI: PROBLEM STATEMENT DEFINITION

1. Context & Background

Personal financial management in domestic and lifestyle contexts involves unpredictable price distributions. Individuals organizing weddings, planning home refurbishments, or hosting parties often lack cost visibility. Consequently, users frequently exceed planned budgets by 30% to 50% due to unplanned expenses and ad-hoc purchasing decisions.

2. Core Problem Statements

Problem Statement 1: Disproportionate Cost Allocation in Interior Renovation

- **Issue:** Homeowners have an aggregate budget but struggle to determine optimal ratios between electrical fittings, cooling appliances, and furniture.
- **Consequence:** Funds are exhausted on aesthetic furniture prematurely, leaving insufficient budget for essential appliances and safety electricals.

Problem Statement 2: Event & Party Budget Overruns

- **Issue:** Event hosts fail to balance fixed costs (venue booking) against variable costs (per-head catering and decor).
- **Consequence:** Incorrect guest-to-budget estimation leads to low-quality hospitality or severe financial strain.

Problem Statement 3: Pricing Opacity in Jewelry & Occasion Wear

- **Issue:** Consumers purchasing jewelry for weddings or festivals find it challenging to correlate reference designs with actual market price bands.
- **Consequence:** Shoppers spend substantial time browsing retail stores without finding designs matching their budget ceiling.

Problem Statement 4: The Discovery-to-Purchase Disconnect

- **Issue:** Existing budget advisory websites display theoretical monetary estimates without connecting users to real-world marketplaces.
- **Consequence:** Users must manually copy item names and search across disparate apps, causing high drop-off and friction.

3. Root Cause Analysis (5-Whys Framework)

1. **Why do consumers exceed personal project budgets?**
Because they do not allocate categorical limits prior to purchasing.
2. **Why don't they pre-allocate limits?** Because manual budget calculations require extensive market research across diverse stores.
3. **Why is research difficult?** Because product pricing across appliances, decor, and jewelry is non-standardized and scattered.
4. **Why isn't software solving this?** Because traditional finance apps only track past expenditures, offering zero proactive planning intelligence.
5. **Root Cause:** A complete absence of predictive, multi-category AI planners that translate holistic monetary limits into itemized shopping plans.

